IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V

Item No.-01

CP (CAA) No.-13/230/232/ND/2022 (2nd motion)

IN THE MATTER OF:

Facisol Infotech Pvt. Ltd. With Latent Light Trading Pvt. Ltd.**....Applicant**

SECTION

U/s 230-232 **Order delivered on 05.07.2023**

CORAM:
SHRI P.S.N PRASAD,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

Order pronounced in open court vide separate sheets. CP (CAA) No.-13/230/232/ND/2022(2nd Motion) is **allowed.**

Sd/- **Sd/-**
(DR. BINOD KUMAR SINHA) **(P.S.N PRASAD)**
MEMBER (T) **MEMBER (J)**

Amit Tiwari
05.07.2023

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – V
COMPANY PETITION NO. (CAA) – 13 (ND)/2022
CONNECTED WITH
COMPANY APPLICATION NO. 58 (ND)/2021

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF:

FACISOL INFOTECH PRIVATE LIMITED

...PETITIONER NO.1/TRANSFEROR COMPANY NO. 1

AND

LATENT LIGHT TRADING PRIVATE LIMITED

...PETITIONER NO.2/ TRANSFEROR COMPANY NO. 2

AND

LATENT LIGHT CORPORATION PRIVATE LIMITED

...PETITIONER NO.3/ TRANSFEROR COMPANY NO. 3

AND

LATENT LIGHT ESTATE PRIVATE LIMITED

...PETITIONER NO.4/ TRANSFEREE COMPANY

Order Delivered On: 05.07.2023

CORAM:

SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Adv. Videh Vaish, Adv. Lalit Mohan, Adv Aakansha, Adv Abhay Gupta, Adv. Saksham
For the Respondent :
For the RD : Ms. Niharika Tanwar, Ms. Shankari Mishra

ORDER

PER: SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

1. The present Joint Petition is filed by the Petitioner Companies herein M/s FACISOL INFOTECH PRIVATE LIMITED (Transferor Company No. 1/Petitioner No.1), M/s LATENT LIGHT TRADING PRIVATE LIMITED (Transferor Company No. 2/Petitioner No.2), M/s LATENT LIGHT CORPORATION PRIVATE LIMITED (Transferor Company No. 3/Petitioner No.3), and M/s LATENT LIGHT ESTATE PRIVATE LIMITED (Transferee Company/Petitioner No.4) under Section 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation of the Transferor Companies with LATENT LIGHT ESTATE PRIVATE LIMITED (Transferee Company/Petitioner No. 4). The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme"), has been placed on record.
2. The Transferor Company No. 1/Petitioner No. 1 i.e M/s Facisol Infotech Private Limited is a private limited company incorporated on 21.05.2001 under the provisions of the Companies Act, 1956 vide CIN: U72900DL2001PTC110923, having its registered office situated at Plot No. 46, Block D-2, Jeewan Park, Pankha Road, Uttam Nagar, DL 110059 IN. Thus, the registered office of the Transferor Company No.1

is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 1 is Rs. 20,00,000/- /- divided into 2,00,000/- equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 1 is Rs. 17,00,000/- divided into 1,70,000 equity shares of Rs. 10/- each.

3. The Transferor Company No. 2/Petitioner No. 2 i.e M/s Latent Light Trading Private Limited is a private limited company incorporated on 03.03.2011 under the provisions of the Companies Act, 1956 vide CIN: U36911DL2011PTC151127, having its registered office situated at C-3/7, Safdarjung Development Area, DL 110016 IN. Thus, the registered office of the Transferor Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 2 is Rs. 1,50,00,000/- divided into 15,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 2 is Rs. 1,43,91,520/ divided into 14,39,152 equity shares of Rs. 10/- each.

4. The Transferor Company No. 3/Petitioner No. 3 i.e M/s Latent Light Corporation Private Limited is a private limited company incorporated on 11.09.2013 under the provisions of the Companies Act, 1956 vide CIN: U51909DL2013PTC257570, having its registered office situated at C-3/7, Safdarjung Development Area, DL 110016 IN. Thus, the registered office of the Transferor Company is under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company No. 3 is Rs. 2,42,00,000/- divided into 24,20,000 equity shares of Rs.

10/- each. The issued, subscribed and paid-up share capital of the Transferor Company No. 3 is Rs. 1,50,50,680/- divided into 15,05,068 equity shares of Rs. 10/- each.

5. The Transferee Company/ Petitioner Company No. 4 i.e. M/s Latent Light Estate Private Limited is a private limited company incorporated on 03.08.2006 under the provisions of the Companies Act, 1956 vide CIN: U65999DL2006PTC151588, having its registered office at C-3/7, Safdarjung Development Area, DL 110016 IN. Thus, the registered office of the Transferee Company is under the jurisdiction of this Tribunal. The authorised share capital of the Transferee Company is Rs. 7,40,00,000 /- divided into 74,00,000 equity shares of Rs. 10/- each. The present issued, subscribed and paid-up capital of the Transferee Company is Rs. 7,34,18,000/- divided into 73,41,800 equity shares of Rs. 10/- each.

6. The Petitioner Companies submit that the proposed scheme of amalgamation of the Transferor Companies and Transferee Company would have the following benefits: -

    i. Amalgamation of the Transferor/ Amalgamating Company/ Applicant Company and the Transferee/Amalgamated Company would result in benefit to shareholders and other stakeholders of the respective companies by providing business synergies and consolidating and simplifying the group structure, business operations and provide optimal utilization of various resources;

ii. Amalgamation of the Transferor! Amalgamating Company! Applicant Company and the Transferee/Amalgamated Company would result in enhance growth prospects and operating efficiencies, reduce overheads, administrative, managerial and other costs and expenditure and bring operational rationalization and organizational efficiency; and

iii. Amalgamation of the Transferor! Amalgamating Company/ Applicant Company and the Transferee/Amalgamated would help in achieving a linear entity and consolidate the business under a single entity.

7. The appointed date as fixed for the proposed scheme of Amalgamation is 1st April, 2020 or such other date as may be directed by the Hon'ble National Law Tribunal. The Tribunal prescribes 01.04.2022 as the appointed date for the proposed scheme of Amalgamation.

8. From the record, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA)58/ND/2021. Vide order dated 03.01.2022, the meeting of Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner No.1, Petitioner No.2, Petitioner No.3, and Petitioner No.4 was dispensed with.

9. The Tribunal directed the petitioner companies to issue individual notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Income Tax Department, (iii) Registrar of Companies NCT of Delhi and Haryana, and (iv) Official Liquidator

10. The Petitioner Companies were also directed to carry out publication in the newspapers. It is seen from the records that the petitioners have filed an Affidavit affirming compliance and disclosing that the applicants have effected publication in "Business Standard" (English, Delhi edition) edition as well as "Business Standard" (Hindi, Delhi edition), both dated 24.02.2022. In addition to the public notice, notices were served on the Regional Director (Northern Region), Official Liquidator, the Income Tax Department, Registrar of Companies, NCT of Delhi and Haryana, the Reserve Bank of India and to the other relevant sectoral regulators.

11. Pursuant to the notice issued to the Regional Director and Official Liquidator, they have filed their response/reply in the matter.

12. The Regional Director (RD) in its report dated 06.07.2022 has made certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Companies. The Petitioner Companies had filed reply dated 21.07.2022 in response to the observations made by the Regional Director, under wherein the Petitioner Companies gave clarification and undertaking to address the observations made by the Regional Director. The details of the same are summarised below:

Observation	Observation of the Regional Director vide report dated 06.07.2022	Reply of the Petitioner Companies vide Affidavit dated 21.07.2022
1.	• As per Clause 11of the proposed scheme, the authorized share capital of the Transferor Companies and the Transferee Company shall stand combined together. In this regard, the Transferee Company, in accordance	I. It is humbly submitted that the Transferee Company undertake to comply with the provision of 232(3)(i) of the Companies Act, 2013 and will pay difference in the fees

	with Section 232(3)(i) of the Companies Act, 2013, if there is any difference in the fees, shall pay on transfer of Authorized Capital in accordance with provisions of the Act. • On perusal of the Clause 27 of the scheme, it appears that the scheme will not be effective from 'Appointed Date'. However, as per Section 232 (6) of the Companies Act, 2013, the scheme is required to be effective from the 'Appointed Date' only. • On perusal of financial statements of Transferor company 1 for the F.Y 2018-19 & 2019-20, 'other non-current liabilities' amounting to Rs. 16,00,000/- is shown under the head 'Other current liabilities'. This amount is invested in Latent Light Finance Limited but the source of this amount is disclosed vaguely as 'Advance portion for which value to be given'. This casts a doubt on the nature of this transactions. • On perusal of the financial statements of Transferor company 2 for F.Y. 2019-20, it is observed that an amalgamation in a separate proceeding was sanctioned by Hon'ble Tribunal stated that though the Appointed Date of the said amalgamation was 01.04.2018, the effect for the same was given on 01.04.2019 i.e. after the Appointed Date. This appears to be violation of Section 232(6) of the Companies Act, 2013 by Transferor Company No. 2 in the separate amalgamation proceedings. Accordingly, the accounts maintained by the company are in doubt as the previous scheme was not given effect from the Appointed Date. • On perusal of the financial statements of Transferor Company 3 for the F.Y 2019-20, below observation was made: a) In a separate amalgamation proceeding sanctioned by the Hon'ble NCLT on 18.12.2019, wherein Transferor Company No. 3 was also a party. It has been stated that though the Appointed Date of the said amalgamation was 01.04.2018, the effect for the same was given on 18.12.2019 i.e., after the Appointed Date. This appears to be violation of Section	on transfer of Authorised Share Capital accordance with the provision of the Act. II. The Petitioner Companies submit that in accordance with Section 232(6) of the Companies Act, 2013 ("Act"), the scheme clearly indicates/ specifies :- a) That the Appointed Date i.e. April 1, 2020 has been clearly indicated in Clause 1.2 of the Scheme and that the scheme shall take effect from the Appointed Date; and b) In clause 27 of the scheme, the Effective Date, means the last of the dates on which all the conditions and matters referred to in scheme occur or have been fulfilled or waived in accordance with the scheme. The Petition Companies Submit that the scheme will be operative from the Effective Date, but shall be given effect from the Appointed Date, i.e. April 1, 2020. It is humbly submitted that scheme is operative/effective from Appointed date only. The Transferee Company already comply with the provisions of Section 232 (6) of the Companies Act, 2013. III. That in this point, ROC did not raise any objection to the scheme and only disclosed that amount of Rs. 16,00,000/- was received disclosed vaguely. In this regard, the Transferor Company hereby submits that Note No. 6 of its Balance Sheet for the year ended March 31, 2019 and March 31, 2020 relates to "Other Non-current liabilities" of Rs. 16,00,000; The said amount was received from M/s CHITRANGADA TRANSPORT PRIVATE LIMITED and the same was disclosed in the List of Creditors submitted with respected department

	232(6) of the Companies Act, 2013 by Transferor Company No. 3 is said separate amalgamation proceedings. Accordingly, the accounts maintained by the company are in doubt as the previous scheme was not given effect from the Appointed Date. b) Short term borrowings of Rs. 5,35,23,100 have been used to fund non-current investments of Rs. 5,52,23,100/-. c) Despite decrease in short term loans & advances, the company has shown increase in the interest income Rs. 13.98 lacs to Rs. 38.37 lacs. No explanation is furnished. • On perusal of the financial statements of Transferee Company for the F.Y. 2019-20, it was observed that: in a separate amalgamation proceeding sanctioned by the Hon'ble NCLT on 18.12.2020, wherein Transferee Company was also a party, it has been stated that though the Appointed Date of the said amalgamation was 01.04.2018, the effect for the same was given on 01.04.2019 i.e., after the Appointed Date. This appears to be violation of Section 232(6) of the Companies Act, 2013 by Transferee Company in said separate amalgamation proceedings. Accordingly, the accounts maintained by the company are in doubt as the previous scheme was not given effect from the appointed date.	and consent affidavit from the same. We hereby disclosed the same not considering it vaguely. IV. It is humbly submitted that, as per scheme the Appointed/Effective date of merger was 01.04.2018. The financials for the year ended 31.03.2019 were prepared and filed. Whereas, the order of amalgamation was received on 12.02.2020 and as the order was received after the due date of filing off annual returns for the year end 31st March 2019, therefore the financials of amalgamating and amalgamated companies were filed separately, as compliance under Law. After the receipt of merger order, all the financial statements of amalgamating and amalgamated company were combined and consolidated financial statements were submitted as a compliance to amalgamation order- Further, accounting treatment certificate in case of both the amalgamation has been submitted by Statutory Auditor of the Company. V. It is humbly submitted that, as per scheme the Appointed/Effective date of merger was 01.04.2018. The financials for the year ended 31.03.2019 were prepared and filed. Whereas, the order or amalgamation was received on 18.12.2019 and as the order was received after the due date of filing of annual returns for the year ended 31st March, 2019 therefore the financials of amalgamating and amalgamated companies were filed separately, as compliance under Law, After the receipt of merger order, all the financial statements of amalgamating and

		amalgamated company were combined and consolidated financial statements were submitted as a compliance to amalgamation order. Further, accounting treatment certificate in case of both the amalgamation has been submitted by Statutory Auditor of the company. a) It is humbly submitted that Short term borrowing was not used to fund non-current investment as mentioned in observation, the same was used to business purpose of M/s Latent Light Estates Private Limited which is subsidiary of Transferor Company No. 3. b) It is humbly submitted that comparison of interest income with year-end balance of Loan and advances given is not justified as the interest is always calculated on the number of days, facility is provided, whereas, balance. Both line items are not comparable in the manner, comparison is made, therefore the observation is not tenable. VI. It is humbly submitted that, as per scheme the Appointed/Effective date of merger was 01.04.2018. The financials for the year ended 31.03.2019 were prepared and filed. Whereas, the order of amalgamation was received on 18.12.2020 and as the order was received after the due date of filing of annual returns for the year ended 31st March, 2019 therefore the financial of amalgamating and amalgamated company were combined and consolidated financial statements were submitted as a compliance to amalgamation order. Further, accounting treatment certificate in case

		of both the amalgamation has been submitted by Statutory Auditor of the Company. Furthermore, the Transferor/Transferee Company always follow all the procedures, as stipulated by any regulatory authority, follow all rules/regulations/instructions etc. issues by any government agency, and our intention has never been to conceal any information. We have never been penalized by any regulatory authority and have got clean track record till date. Further, we submit and reiterate that in this case also our intention was not to conceal any information/detail and / or to have any gain or unfair advantage as already explained above.

13. Thus, though initially, the Regional Director (RD) in its report dated 06.07.2022 had made certain observations with regard to the proposed scheme of amalgamation among the petitioner companies, however, after the reply of the Petitioner Companies in response to the observations made by the Regional Director, the observations made by the Regional Director stand clarified according to the Counsel for the Regional Director, as observed in order dated 16.02.2023.

14. The Official Liquidator has filed its report dated 27.04.2022, wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the affairs of the transferor

companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

15. The Petitioner Companies filed affidavit dated 22.07.2022, wherein it has been submitted that the Applicant Companies do not have any dues pending towards the Income Tax Department. Further, no outstanding demands appears on the Income Tax Portal and neither does it show any proceeding or investigation/inquiry is pending against the company under the Income Tax Act. Hence, as per the provisions of Section 230(5) of the Companies Act, 2013, on the expiry of 30 days from the date of notice, it may be presumed that the Income Tax Department does not have any comments on the proposed Scheme of Amalgamation.

16. Considering the reply of the Petitioner Companies and further, the undertaking of the Petitioner Companies with respect to the observations and clarifications, we find no impediment in approving the present scheme of amalgamation.

17. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Companies.

18. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the

provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

19. The shareholders of the petitioner companies are the best judges of their interest, being fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies as approved by shareholders and creditors.

20. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

21. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

    (i) The Petitioners shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

22. This tribunal further directs with respect to all the Transferor companies and the Transferee company, that:

(i) Upon the sanction becoming effective from the appointed date i.e. 01.04.2022, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iii) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(iv) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(v) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vi) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

23. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such

certified copy being so delivered, the Transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

24. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

25. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-
(DR. BINOD KUMAR SINHA)
MEMBER (TECHNICAL)

Sd/-
(SH. P.S.N. PRASAD)
MEMBER (JUDICIAL)